Bajaj Finserv Ltd (BAJAJFINSV)

ROE	11.72%
ROCE	21.14%
CFO Quality	Accrual Risk
Capital Allocation	Growth Funded by Debt

Strengths

• Consistently high return on equity above 20% demonstrates exceptional capital efficiency.

• Revenue growing at above 15% CAGR over 5 years reflects strong business momentum.

• Operating profit margin above 25% indicates strong pricing power and cost discipline.

• Net profit compounding at above 20% over 5 years creates significant shareholder value.

• Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding.

Risks

• Debt-to-equity ratio of 4.79 is elevated and warrants monitoring.

• Free cash flow negative for 3 consecutive years raises concern about cash generation quality.

• Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk.